

choosing only the largest one from each management group. It summarizes the overall return of each of these funds for 1961–1965, 1966–1970, and for the single years 1969 and 1970. We also give average results based on the sum of one share of each of the ten funds. These companies had combined assets of over \$15 billion at the end of 1969, or about one-third of all the common-stock funds. Thus they should be fairly representative of the industry as a whole. (In theory, there should be a bias in this list on the side of better than industry performance, since these better companies should have been entitled to more rapid expansion than the others; but this may not be the case in practice.)

|                                      | (Inflated)<br>5 years,<br>1961–1965<br>(all +) | 5 years,<br>1966–1970 | 10 years,<br>1961–1970<br>(all +) | 1969   | 1970  | Net Assets,<br>December<br>1970<br>(millions) |
|--------------------------------------|------------------------------------------------|-----------------------|-----------------------------------|--------|-------|-----------------------------------------------|
| Affiliated Fund                      | 71%                                            | +19.7%                | 105.3%                            | -14.3% | +2.2% | \$1,600                                       |
| Dreyfus                              | 97                                             | +18.7                 | 135.4                             | -11.9  | -6.4  | 2,232                                         |
| Fidelity Fund                        | 79                                             | +31.8                 | 137.1                             | -7.4   | +2.2  | 819                                           |
| Fundamental Inv.                     | 79                                             | +1.0                  | 81.3                              | -12.7  | -5.8  | 1,054                                         |
| Invest. Co. of Am.                   | 82                                             | +37.9                 | 152.2                             | -10.6  | +2.3  | 1,168                                         |
| Investors Stock Fund                 | 54                                             | +5.6                  | 63.5                              | -80.0  | -7.2  | 2,227                                         |
| Mass. Inv. Trust                     | 18                                             | +16.2                 | 44.2                              | -4.0   | +0.6  | 1,956                                         |
| National Investors                   | 61                                             | +31.7                 | 112.2                             | +4.0   | -9.1  | 747                                           |
| Putnam Growth                        | 62                                             | +22.3                 | 104.0                             | -13.3  | -3.8  | 684                                           |
| United Accum.                        | 74                                             | -2.0                  | 72.7                              | -10.3  | -2.9  | 1,141                                         |
| Average                              | 72                                             | 18.3                  | 105.8                             | -8.9   | -2.2  |                                               |
| Standard & Poor's<br>composite index | 77                                             | +16.1                 | 104.7                             | -8.3   | +3.5  |                                               |
| DJIA                                 | 78                                             | +2.9                  | 83.0                              | -11.6  | +8.7  |                                               |
|                                      |                                                |                       |                                   |        |       | \$13,628 (total)                              |

<sup>a</sup> These are the stock funds with the largest net assets at the end of 1970, but using only one fund from each management group. Data supplied by Wiesenberger Financial Services.

Some interesting facts can be gathered from this table. First, we find that the overall results of these ten funds for 1961–1970 were not appreciably different from those of the Standard & Poor's 500-stock composite average (or the S & P 425-industrial stock average). But they were definitely better than those of the DJIA. (This raises the intriguing question as to why the 30 giants in the DJIA did worse than the much more